

GE261004 DESIGN THINKING

Unit V – Innovation, Entrepreneurship and Sustainability · Presentation 2 of 6

Value Proposition and Business Model Basics

What a value proposition is · jobs, pains and gains · the Value Proposition Canvas · the nine blocks · cost, price and who pays

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In this presentation

- What a value proposition is
- The Value Proposition Canvas
- Jobs, pains and gains
- Writing it in one sentence
- The Business Model Canvas
- The customer side
- The company side
- Cost, price and who pays



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The value proposition

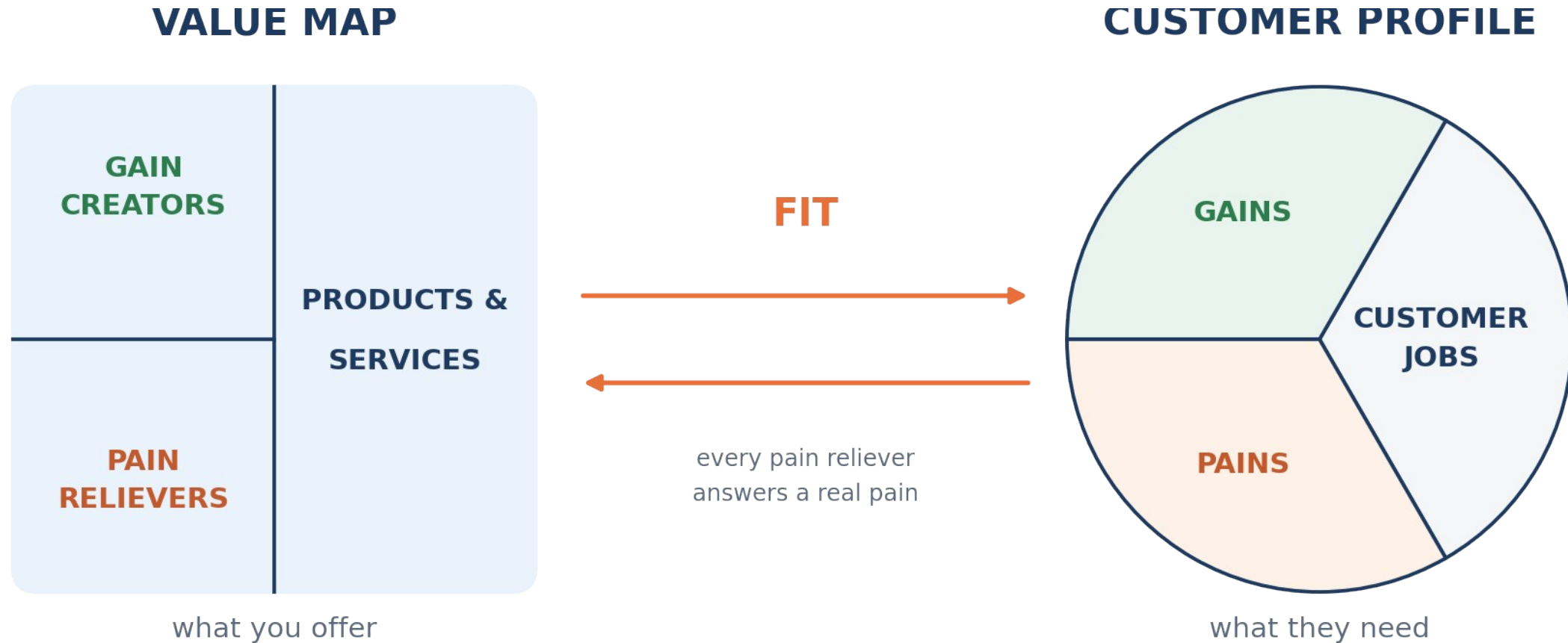
One sentence that says why anybody should care

What a value proposition is

- A plain statement of what a specific person gets, and why it beats what they do now
- It is about their outcome, not your feature list
- “It has a nano-silver filter” is a feature; “water you can trust without electricity” is a value proposition
- If it could describe a competitor equally well, it is not yet a value proposition

KEY POINT Written from the user's side, not the product's. That is the whole difference.

The Value Proposition Canvas



Osterwalder's canvas: the fit between what you offer and what they need.

Jobs, pains and gains

Jobs

What the person is trying to get done – functional, social and emotional, all three count.

Pains

What goes wrong now: cost, risk, effort, embarrassment, waiting, breaking.

Gains

What a good outcome looks like to them – including gains they would not have asked for.

KEY POINT Fill the customer side entirely from your Unit II field notes. If you are inventing it, you are guessing.

Writing it in one sentence

- **For** [a specific person] **who** [has this job or pain],
- **our** [solution] **gives** [this outcome],
- **unlike** [what they do now], **because** [your reason].
- Every bracket must be fillable from evidence, not from hope

ACTIVITY Ten minutes. Write your team's sentence, then read it to another team and ask them to repeat it back from memory.

2

The business model

How the value proposition survives contact with money

The Business Model Canvas

Nine blocks — Osterwalder, 2005



Nine blocks on one page — the whole logic of an enterprise.

The customer side

Customer segments

Exactly who you serve. “Everyone” is not a segment, and neither is “students”.

Value proposition

The promise, in their words. This is the block the other eight exist to deliver.

Channels

How they find it, get it and get help with it – shops, apps, field staff, word of mouth.

Relationships

What contact they expect: self-service, personal help, a community, a subscription.

The company side

Key activities

The few things you must do well yourself, because they are the value.

Key resources

People, equipment, licences, data, money – what you cannot operate without.

Key partners

Who does the rest: suppliers, distributors, NGOs, a manufacturer, a hospital.

Costs and revenues

What it costs to run, and who pays for what. If these do not meet, nothing else matters.

Cost, price and who pays

- Cost is what it takes to make; price is what somebody agrees to give you
- The payer is often not the user – a parent, a hospital, a government, an employer
- **Cross-subsidy** – Aravind's paying patients fund the ones who pay nothing, from Unit I
- Design the pricing with the same care as the product; it is part of the design

KEY POINT A solution that cannot be paid for does not reach anybody. Affordability is a design constraint, not an afterthought.

In class: fill both canvases

- Fill the customer side of the Value Proposition Canvas from your field notes only
- Then fill the value map, and mark every pain reliever that answers a real pain
- Sketch the nine blocks for your concept on one sheet
- Circle the block you have the least evidence for

ACTIVITY Thirty minutes. Each team pins up both canvases and names its weakest block.

THINK ABOUT IT

Who pays for your team's solution – and have you ever asked them?

- Is the payer the user, or somebody acting for them?
- What would they compare your price against?
- What would make them say it is too expensive?
- What could you remove to halve the cost?

Summary

- A value proposition states the user's outcome, not your features
- Customer profile: jobs, pains, gains – filled from field notes
- Value map: products, pain relievers, gain creators – and the fit between them
- Nine blocks describe the whole logic of an enterprise
- Four face the customer, four deliver, and the promise sits in the middle
- The payer is often not the user, and affordability is a design constraint

Next: Sustainable and inclusive design

- Counting the whole life of a product
- Linear and circular models
- The seven principles of universal design
- Engineering and the Sustainable Development Goals